

WHAT IF YOU DIE?

We buy life insurance for all the wrong reasons – fear, greed, pity, frustration, taxes. The real reason for a life cover, to protect your family if you die, is never explained.

Kanchan Chander is a famous Delhi-based artist; you can spot her on page 3 of the daily tabloids grinning at the camera. I happened to meet her at the home of a common friend. And as it played out, the conversation soon shifted to her money. (There was not much I knew about art anyway.)

She was in the middle of a story that I had now heard hundreds of times. A pushy bank relationship manager promises a wonder insurance-cum-investment product; you trust your bank; you grew up in a time when insurance meant safety and good return, along with tax breaks. This relationship manager is very persuasive, calls many times, is very charming, looks sincerely into your eyes and gives his personal promise about the product; I'm there, he says.

Kanchan's story was no different. She wanted to put away a lump sum for two years so that she could fund her son's art-school education in the UK. However, she was sold a fifteen-year regular-premium unit-linked insurance plan some years ago by her bank. She thought she was buying a two-year fixed deposit, but the bank had put her in a regular-premium long-term investment. She got a shock when a year later she got a message from the insurance company saying that the second premium is due.